trendy new retailer. As consumers, just about everything we buy is a winner, having beaten out the lesser products whose producers have left the marketplace.

The challenge is that this *hidden world of failure* creates a deeply flawed understanding of the world. By not recognizing failure, we underestimate how challenging success is.

The other side of Survivorship Bias: *Success is a rare and delicate thing*. As a percentage, failure is far more common. Our constant exposure to winners—the things we buy, use, or consume—disguise just how rare they are. Failure is far more present than most of us realize.

The result: Our faulty mental models misperceive how difficult it is to be successful in any given sphere. As we shall see, our models are unusually bad at understanding probabilities. They do an excellent job of keeping us alive long enough to procreate and pass genes on to the next generation. But when it comes to calculating odds on the fly, we just were not built for that. The foundation of the entire gaming and casino industry rests on this flaw in our wetware.

Some fund managers will outperform this year; *someone* is gonna win the lottery; sports leagues crown a champion every year (when might it be the NY Knicks again?). We underestimate how rare these occurrences are, and how difficult it is to achieve them. Why would anyone ever open a new restaurant or invest in a Broadway play if they truly understood how much the odds were stacked against them? This is why we sometimes make low-probability investments in long shots that are much less likely to pay off than we imagine.

Everything we see is the result of survivorship bias. It is hidden and easily overlooked. That is why success is so much rarer, more difficult and fragile than it appears to be.

It's not just mutual funds where survivorship bias lurks. We see it in the art